The US−dollar investor −− timing dollar returns with the FX−adjusted factor

Strategy	Mean (%)	Vol (%)	Sharpe	OOS R2
FXGCF−timed	2.68	11.24	0.24	0.120
GCF−timed	1.95	7.95	0.25	0.073
Recursive−mean timing	1.60	7.82	0.20	−−
Buy−and−hold	1.53	7.72	0.20	−−

Unhedged 10Y global bond portfolio in US dollars, 2005−2024 (n=221 months). FXGCF−timed and GCF−timed use the recursive FX−adjusted and unadjusted global factors; the same mean−variance rule and equal−average−exposure reporting as the hedged strategy. OOS R2 is the Campbell−Thompson statistic of the factor forecast. The unhedged dollar bond premium is modest over the sample, so the dollar strategies improve on the passive portfolio but stay well below the currency−hedged investor.